I now have all the data needed. Let me compile the comprehensive research memo.

BANR — Banner Corporation

Equity Research Memo | Financial Services / Regional Banking

Coverage Initiated | Rating: HOLD with Constructive Bias | Price Target: Under Review
Data as of: SEC 10-K FY2025; yfinance live quote (15-min delayed); Macro data FRED as of June 2026

Executive Summary

Banner Corporation (NASDAQ: BANR) is a $2.4B [1] market-cap Pacific Northwest community bank holding company operating through Banner Bank across six western states. The company posted net income of $195M [2], up +15.4% [3] from $169M [4], and diluted EPS of $5.64 [2], a notable improvement from $4.88 [4]. Total assets grew modestly to $16.35B [5], and the loan portfolio expanded to $11.72B net [6]. BANR trades at a P/E of 11.9x [1] and P/B of 1.22x [1] — a reasonable but not compellingly cheap valuation for a well-run, asset-sensitive regional bank. With the market in **BULL_FADING** territory and the Fed Funds rate at 3.63% [7] — still above the long-run neutral — the rate tailwind for NIMs is beginning to moderate. **Verdict: HOLD.** The earnings trajectory is positive, but the stock is trading near its 52-week high of $72.65 [1], leaving limited near-term upside without a fresh catalyst.

Business Overview & Segment Mix

Banner Corporation is a Washington-state bank holding company headquartered in Walla Walla, WA, operating exclusively through its wholly-owned subsidiary, **Banner Bank** [5]. As of December 31, 2025, the bank operated **135 branch offices** and **15 loan production offices** across Washington, Oregon, California, Idaho, Utah, and Nevada [5]. It is also regulated by the Federal Reserve (holdco level) and the Washington State DFI and FDIC at the bank level [5].

Key Balance Sheet Metrics (FY2025):
- Total Assets: $16.35B [6]
- Net Loans: $11.56B [6]
- Total Deposits: $13.74B [6]
- Total Shareholders' Equity: $1.95B [6]

Loan Product Mix — BANR runs a deliberately diversified book spanning [5]:
- Commercial business and commercial real estate (CRE) loans
- Agricultural business loans
- Construction, land, and land development loans
- One-to-four family residential loans
- Multifamily real estate loans

- SBA loans and consumer loans

The bank's subsidiary, **Community Financial Corporation**, conducts residential construction lending out of Portland, Oregon [6]. BANR is also an active secondary-market participant, originating and selling 1-4 family residential loans — a mortgage banking engine that adds fee income but which has been pressured by elevated rates [6].

BANR operates as a **single-segment** community banking franchise — there is no separate wealth management, insurance, or capital markets segment to speak of. This simplicity is both a strength (focus) and a weakness (fee income concentration).

Net Interest Income & Margin

Net interest income (NII) is the **dominant earnings driver** for BANR. Operating income rose to $73M [2] from $67M [4], a +9.0% increase [3], while net income expanded to $195M [2] vs. $169M [4] (+15.4% [3]), suggesting favorable loan repricing dynamics and well-controlled provisions.

The 10-K makes clear that **NII is a function of the interest rate spread** — the difference between yields on interest-earning assets (primarily loans and investment securities) and rates paid on interest-bearing liabilities (client deposits, FHLB advances, junior subordinated debentures) [6]. Management's strategic priority of maintaining loans with **more frequent repricing or shorter maturities** than traditional fixed-rate mortgages — including floating/adjustable-rate commercial, agricultural, and construction products — is designed to capture rate upside in rising environments [6].

Specific NIM percentages were not disclosed in the XBRL data pulled; however, the net loan portfolio grew from $11.35B [6] at year-end 2024 to $11.72B [6] at year-end 2025, a +3.3% expansion [3], underpinning NII volume growth even as rate tailwinds moderate. The FHLB of Des Moines serves as the primary wholesale funding backstop [6].

Loan Portfolio Quality

BANR's management explicitly targets a **"moderate risk profile"** [6] with portfolio diversification across product type, borrower, and geography. Key observations:

- **Net loan portfolio:** $11.72B at December 31, 2025 vs. $11.35B at December 31, 2024 [6], indicating +3.3% growth [3]
- **Net loans disclosed in business section:** $11.56B [6] (slight difference likely reflects timing/definitions)
- **1-4 family residential:** BANR sells a significant portion of conventional originations into secondary markets; demand slowed in 2024 and 2025 due to elevated interest rates reducing refinance activity and origination volumes [6]
- **Construction/land:** Includes a significant component of 1-4 family residential construction loans; throughout 2025, sales of completed homes continued to outpace new originations due to constrained housing inventories [6]

- **Commercial business:** Focused on small-to-medium-sized businesses and agribusiness borrowers in BANR's primary markets; some participation in national syndicated loans [6]

Credit Risk Flags from 10-K:
The 10-K highlights the following as explicit credit risks [8]:
- Changes in loan delinquencies and write-offs
- Changes in estimates of the adequacy of the **allowance for credit losses (ACL)**, which could necessitate additional provisioning — applicable to both originated and acquired loans
- Fluctuations in real estate values (a key collateral type given the CRE/residential mix)
- Agriculture-based lending exposure

Specific non-performing loan (NPL) ratios and ACL balances were **not returned in the XBRL pull** and would need to be sourced directly from the financial statement schedules in Item 8. Based on available data, provisioning appears well-controlled given the strong net income trajectory.

Capital & Liquidity Ratios

Balance Sheet Strength (FY2025):
- Total Assets: $16,354M [2]
- Total Liabilities: $14,408M [2]
- Total Equity: $1,946M [2] — up from $1,774M [4], a +9.7% increase [3]
- Cash & Equivalents: $423M [2] vs. $502M [4], a -$79M decline [3]
- **Leverage Ratio (Liabilities/Assets):** 88.1% [3] — typical for community banks; equity-to-assets is 11.9% [3]

Equity/Deposit Coverage: Total deposits of $13.74B [6] are covered 14.2% [3] by equity — a solid cushion for a community bank.

Specific CET1/Tier 1 ratios were not returned in the structured data pull; however, the 10-K MD&A contains a Capital Requirements sub-section on page 63 [9], which would contain the regulatory capital tables. Based on the equity growth trend and profitability, BANR appears well-capitalized. The book value per share implied is approximately $57.39 [3] based on $1,946M equity / ~33.9M diluted shares, suggesting the stock at $70.65 [1] trades at a ~23% premium to book [3], consistent with the P/B of 1.22x [1].

Cash Flow Liquidity:
- Operating Cash Flow: $257M [2] vs. $293M [4] (-12.2% [3])
- Free Cash Flow (OCF – CapEx): $248M [2] vs. $279M [4] (-11.1% [3])
- Capital Expenditures: $10M [2] — asset-light model, down from $14M [4]
- Financing cash flow turned negative at -$112M [2] vs. +$325M [4] — suggesting net debt repayment/dividend outflows and less wholesale borrowing in FY2025

Fee Income & Diversification

BANR's fee income profile is **community-bank typical** — meaningful but not a structural diversifier. Non-interest income sources identified in the 10-K include [6]:

1. **Deposit fees and service charges** — core transactional fees
2. **Mortgage banking revenue** — gains on sale of 1-4 family loans and loan servicing fees (servicing-retained and servicing-released basis)
3. **Gains/losses on investment securities sales**
4. SBA loan premiums (implied by SBA origination activity)

Headwind: Mortgage banking revenue was pressured in both 2024 and 2025 as elevated interest rates reduced refinance activity and origination volumes [6]. This is a meaningful drag given BANR's historical reliance on mortgage banking as a fee income source.

BANR does **not** appear to have a meaningful wealth management, trust, insurance, or capital markets business — limiting fee income diversification relative to larger regional peers. The company's strategic focus on **talent retention and technology improvements

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Sources

[1] yfinance — live
[2] SEC XBRL FY2025
[3] computed from SEC XBRL
[4] SEC XBRL FY2024
[5] SEC 10-K Item 1 - Business
[6] SEC 10-K Item 8 - Financial
[7] FRED Macro Context
[8] SEC 10-K Item 1A - Risk Factors
[9] SEC 10-K Item 7 - MD&A

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for BANR at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000946673&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines

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The investment theory, in plain language. OROS does not rely on a single theory. It runs eight classic strategies side by side as equal peers, each named for the author it comes from:

- **Weinstein** (stage analysis): is the stock in a healthy uptrend above a rising 30 week average.
- **Minervini** (SEPA trend template): does the price pass a checklist of trend conditions.
- **O'Neil** (CANSLIM): is it a leader near new highs with strong momentum and volume.
- **Lynch** (growth at a reasonable price): is the growth cheap relative to its rate.
- **Graham** (value): is it inexpensive on classic value measures.
- **Technical**, **Swing**, and **O'Neil/Minervini** (new issues): indicator, short term, and IPO setups.

A market regime check (bull, neutral, or bear, read from the broad market and volatility) then decides how much to trust each strategy today and how much cash to hold, and the chosen mandate sets the starting blend. A name is selected because several of these authors agree on it under the current regime, not because of any one rule. The Trader tab chart shows the Weinstein view (price versus the 30 week line), and the Research tab shows the deeper cited write up.

Methodology is one of many approaches. These strategies, the specialist agent rubrics, and the `bull_prob` composite score are heuristics. They are one lens among many used by professional investors and **do not guarantee any outcome**. Past stage classifications and historical patterns are not indicative of future results.

Known limitations and risks:
- **Model assumptions** — `bull_prob` weights (momentum, revenue growth, OCF growth, sentiment, leverage delta) are fixed; classifier and specialist outputs depend on a large language model that can hallucinate or err.
- **Data quality** — SEC XBRL, FRED, yfinance, and FMP data can be delayed, revised, or incorrect; live quotes may be 15+ minutes stale.
- **Changing market conditions** — macro regime, interest rates, and sector rotation shift faster than any static model can adapt.
- **Coverage gaps** — limited ticker universe across a small number of sectors; some sectors (e.g. healthcare, conglomerates) have known retrieval weaknesses.

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